

BEFORE THE
FEDERAL MARITIME COMMISSION

INTERPRETIVE RULE ON DEMURRAGE AND DETENTION
UNDER THE SHIPPING ACT

DOCKET NO. 19-05

COMMENTS OF THE OCEAN CARRIER
EQUIPMENT MANAGEMENT ASSOCIATION, INC.

On behalf of its members, the Ocean Carrier Equipment Management Association, Inc. (OCEMA) hereby submits the following comments in response to the Notice of Proposed Rulemaking (NPRM) published by the Federal Maritime Commission (FMC or Commission) on September 17, 2019. 84 Fed. Reg. 48850.

I. INTRODUCTION

OCEMA is an association of 11 major international ocean common carriers that provides a forum for its members to discuss operational, safety, and related matters pertaining to the intermodal transportation of ocean freight within the U.S., including free time, detention and demurrage. Within its scope are equipment-related operational, safety, and regulatory activities such as participation in industry forums, educational sessions, regulatory proceedings and legislative matters. OCEMA members operate or utilize intermodal containers, chassis and other equipment from facilities located at ocean terminals, rail terminals, container yards, and container equipment pools. A list of OCEMA members is attached as Appendix 1.

OCEMA commends the FMC for its efforts to examine detention and demurrage practices within the industry and to consider ways to clarify and improve those practices. The FMC's investigation and report provided helpful insight into issues related to demurrage and detention and furnished useful guidance in a number of areas. However, while OCEMA supports efforts to improve the transparency and accessibility of demurrage and detention practices, it cannot support the resulting NPRM in its present form. If left as is, certain aspects

of the rule (and accompanying background discussion) have the potential to deepen the confusion surrounding demurrage and detention practices, increase burdens on both shippers and carriers and, despite the FMC's best intentions, could result in disincentives to efficiently operate intermodal equipment. In addition, the rule crosses a line between regulation under the Shipping Act and unauthorized governmental ratemaking and risk allocation with respect to contractual arrangements.

The following comments are offered to set forth the operational and commercial concerns of OCEMA's members regarding implementation of the regulations as proposed in the NPRM and to make recommendations for approaches to the regulations which are more consistent with industry capabilities and the needs of intermodal commerce.

II. GENERAL COMMENTS

A. **The purpose of demurrage and detention goes beyond incentivizing efficient equipment use.**

At the outset, we note that the FMC's development of the NPRM was predicated on the notion that the sole purpose of detention and demurrage is "to incentivize cargo movement and the productive use of assets (containers and port or terminal land) . . ." 84 Fed. Reg. 48852. The FMC's sole reliance on the incentive principle as the basis for its rulemaking fails to take into consideration other reasons for charging demurrage and detention, as well as legitimate free market commercial and risk management arrangements.

While, as the FMC contends, a primary purpose of demurrage and detention may be to incentivize efficient equipment use, it is by no means the only reason. An equally important function of demurrage and detention is to compensate ocean carriers for costs associated with their equipment.¹ Such costs include not only the asset value of the containers (capital costs or rental fees), but also the opportunity costs of having such containers taken out of service for extended periods of time while in a demurrage or detention status (i.e., increased dwell time between revenue-producing moves). An adverse ruling on a detention or demurrage claim deemed to be unreasonable simply because it did not fit within the FMC's notion of an incentive would have the effect of preventing a carrier from charging for the use of its own equipment.

The NPRM also fails to consider the use of demurrage and detention to manage the risk related to fluctuations in terminal fluidity caused by (i) environmental factors (e.g., snow storms, hurricanes, and other adverse natural events), (ii) labor productivity (e.g., strikes, slowdowns, lack of drayage drivers, etc.), (iii) equipment shortages (e.g., lack of chassis or truck power units), (iv) unanticipated surges in cargo (for example, due to responses to tariffs and trade related reasons), and (v) other operational reasons beyond the control of the ocean carriers. The NPRM would create a presumption that it is unreasonable to charge demurrage or detention when unforeseen intervening events occur that hinder the pick up or return of cargo, simply because such circumstances do not serve the incentive purpose. By focusing exclusively on

¹ This was acknowledged in the FMC's "Fact Finding Investigation No. 28, Final Report," December 3, 2018, at p. 28, but does not appear to have been considered during the development of the proposed rule.

whether a shipper or its agent was able to pick up or return equipment and whether a charge serves the incentive principle, the Commission would take the unprecedented step of making ocean carriers liable for all of the risk and all of the attendant costs related to events beyond their control that close or slow operations at a particular terminal.

Moreover, the allocation of risk is typically included in the determination of costs and services which are integral to the negotiation of rates and terms between carriers and shippers. Removing the ability to charge detention and demurrage under certain circumstances would interfere with private and lawful commercial arrangements, deprive both shippers and ocean carriers of the ability to negotiate for competitive terms and, without legal basis, shift all risk onto the ocean carriers during force majeure events. Thus, the scheme envisioned by the NPRM involves unprecedented government intrusion into lawful commercial relationships of the parties in ways never contemplated by the Shipping Act or prevailing international shipping practices and is essentially anticompetitive in nature.²

B. If adopted, the NPRM will improperly dictate how and under what circumstances ocean carriers will be able to charge demurrage and detention.

The NPRM is styled as “guidance” as to how the FMC will interpret reasonableness in the context of demurrage and detention and suggests that application of the rule will vary depending on the facts of a given case. 84 Fed. Reg. 48852. However, it also states that “demurrage and detention practices and regulations that do not provide for a suspension of charges when circumstances are such that demurrage and detention are incapable of serving their [incentive] purpose would likely be found unreasonable.” *Id.*

Despite the implication that demurrage and detention disputes will consider all of the facts on a case by case basis, the practical effect of this interpretation will be to set a standard for when the application of demurrage or detention will be considered unreasonable. Thus, despite the allowance to consider specific facts in a particular circumstance, the baseline analysis will always be whether a shipper or its agent was able to pick up or return a container when they attempted to do so. Charging demurrage or detention when a shipper or trucker claims it was unable to pick up or return a container will be presumed unreasonable, regardless of the reasons or whether such inability was the fault of the ocean carrier, marine terminal, shipper, trucker or any of them or none of them.

OCEMA respectfully believes that in taking this position the Commission has exceeded its legitimate and important role of regulator and entered the realm of governmental intervention in legitimate contractual processes, in effect dictating commercial service contract and tariff terms.

² See 46 U.S.C. §40101 setting out the purposes of the Shipping Act, including to “(1) establish a non-discriminatory regulatory process for the ocean common carriage of goods . . . with a minimum of government intervention and regulatory costs;” and “(2) provide an efficient and economic transportation system in the ocean commerce of the United States that is, insofar as possible, in harmony with, and responsive to, international shipping practices;”.

II. COMMENTS ON SPECIFIC PROVISIONS

A. **The NPRM's linkage of reasonableness to cargo availability and container return is unworkable.**

By focusing exclusively on the incentive principle, the NPRM equates the reasonableness of demurrage and free time practices to whether the cargo is actually available for retrieval and states that "If cargo interests or truckers cannot pick up their cargo within the free time, then demurrage cannot serve its incentive purpose." *Id.* However, this interpretation fails to take into consideration why the container was unavailable at a particular time or if there were other opportunities for the shipper or trucker to retrieve the container.

The very nature of multi-day free time contemplates that there may be times within the free time period that the shipper is incapable of picking up the container or that the container is unavailable for pick up. Aside from the fact that terminal closures are nearly always beyond the control of the ocean carrier, broadly waiving charges or extending free time during periods of container unavailability (or requiring terminal operators and carriers to repeatedly stop and start the free time clock during brief periods of container unavailability) does not take into consideration whether there were other opportunities within the free time period that the shipper/trucker could retrieve the cargo.

It is also unclear how this could be managed. For example, would free time need to be extended for an additional day if a container was unavailable for two or three hours within a shift? What if a container was unavailable for some period during the first day of free time, but the shipper did not attempt to retrieve the container until two, three or four days later? Does the ocean carrier need to develop systems to stop the free time clock and notify the shipper whenever there is a short delay in availability of the container at a rail or marine terminal? Such systems do not presently exist and will be costly and burdensome for ocean carriers to develop.

The NPRM also does not take into consideration a shipper that waits until the last day to pick up its containers. Requiring terminal operators and ocean carriers to extend free time in cases where the shipper waited until the last minute and was unable to pick up cargo not only shifts the entire burden to the terminal and/or ocean carrier, but defeats the incentive principle by rewarding shippers and truckers that procrastinate in retrieving their cargo.

The NPRM is similarly flawed in its analysis of the return of empty containers where it would consider unreasonable the imposition of detention when a terminal is closed for the return of empties. As the FMC notes, the return of empty containers is the "flip side of container availability." *Id.* at 48853. As such, many of the concerns noted above relating to container availability also apply to empty container returns.

In addition, in most cases rules relating to the return of empty containers are already commercially negotiated and established by contract. For example, as between ocean carriers and truckers, the Uniform Intermodal Interchange and Facilities Access Agreement (UIIA) already sets out equipment return policies and notice requirements in the event containers need to be returned to a location other than what was originally communicated to the trucker. However, ocean carriers have no control over whether a particular terminal gate will be open or closed. In

such circumstances, it is typically the shipper or trucker that has possession of the equipment that bears the risk for delayed returns.

The NPRM is unclear with regard to circumstances that preclude the pick up or return of equipment after the expiration of free time. FMC jurisprudence has found it reasonable to continue charging demurrage after free time expiration regardless of the ability to pick up the container.³ OCEMA believes this is a reasonable approach and that the ability to continue charging demurrage and detention after free time expiration regardless of circumstances is not only consistent with the incentive principle, but further encourages shippers to pick up or return containers within the allotted free time.

Similarly, OCEMA believes that the FMC can take official notice of the fact that many shippers seek and receive extended free time as part of larger service contract arrangements. Under the proposed rule, ocean carriers would not be able to negotiate specific demurrage and detention terms with shippers in return for extended free time because of a concern for what would be considered reasonable under the NPRM. The fact that a shipper is seeking free time in excess of what would normally be allowed under the carrier's tariff, should allow the carrier to negotiate whatever terms the shipper is willing to accept in return for the extended free time.

B. It is most reasonable for costs arising from government inspections to be borne by the shipper that is in position to minimize delays.

The NPRM has suggested three approaches to demurrage and detention when delays in container availability result from government inspections. These recommendations would seek to limit, eliminate or cap the amount of demurrage that could be charged when a container is held for government inspection. OCEMA opposes all of the recommended approaches and believes the FMC should maintain the existing rules relating to government inspections.⁴

Characterizing as unreasonable the imposition of demurrage and detention charges during a government inspection period fails to take into consideration that it is the shipper that has the most control over such inspections. The nature of the cargo that was the impetus for an inspection, the quality and timeliness of government-required paperwork, and the ability to facilitate the release of cargo being held by the government are typically all within the control of the shipper/importer. Requiring extended free time or the waiver or capping of demurrage and detention charges in the event of a government inspection again fails to consider the compensatory purpose of demurrage and detention and effectively requires ocean carriers and terminals to subsidize the parties responsible for clearing the cargo. In short, the proposal unfairly shifts the burden for government inspections onto ocean carriers or terminal operators that have no real control over the cargo inspection and clearance process.

³ See *Boston Shipping Assoc. v. Port of Boston Marine Terminal*, 10 FMC 409 (1967), finding it reasonable for a carrier to continue assessing demurrage against cargo that had exceeded free time when a strike broke out, thus precluding pick up.

⁴ See *Free Time and Detention Charges at New York*, 3 USMC 89 (1948).

C. OCEMA largely concurs with the FMC's position on the clarity of demurrage and detention policies.

OCEMA has long supported the notion of clarity and accessibility with regard to detention and demurrage practices. As noted in the NPRM, OCEMA has encouraged its members to publish their demurrage and detention policies and related dispute resolution processes either directly or via link on the OCEMA website.

D. As long as terminology is clearly described in ocean carrier tariffs and/or service contracts, it should be considered reasonable.

As set out in the NPRM, when determining whether a demurrage or detention practice is reasonable, the FMC will consider whether the material terms of detention and demurrage practices have been clearly defined. If this was the extent of the FMC's analysis, OCEMA would have no objection. However, the NPRM goes on to suggest that the FMC will further consider how definitions differ from past use of terms and how the terms are used elsewhere in the relevant port or in U.S. trade generally.

The controlling factor in a determination of reasonableness should be limited to whether the shipper or trucker was provided with clear instructions regarding the application of demurrage and detention. Comparing present definitions with past definitions or comparing the definitions provided by Carrier A with those of Carrier B does nothing to aid determination of whether a particular definition is clear on its face.

Such reliance on legacy terms would hinder revisions to clarify existing terminology or to develop new, easier to understand terms. Moreover, comparing the terms used by different terminals and carriers to determine reasonableness suggests the existence of a standard terminology and uniform operating conditions that simply do not exist. The comparison of terms that are used from one port to another or from one ocean carrier to another should have no bearing on whether such terms are clear or reasonable in their application.

The NPRM further proposes that the terms demurrage and detention should be limited to defining the source of a charge, with demurrage connoting a charge for land use (on-terminal) and detention being a charge for equipment use (off-terminal). 84 Fed. Reg. 48854. However, this approach fails to consider the fact that some ocean carriers impose a charge that is both compensatory and incentive for the on-terminal use of the ocean carrier's equipment. In such cases, ocean carriers may call this charge "demurrage," in keeping with the convention that on-terminal charges are considered demurrage, while off-terminal charges are "detention." Other ocean carriers, to differentiate the charge from terminal demurrage may use other terms such as "storage" or "per diem."

It is unclear, in this regard, why the FMC would consider it unreasonable for different ocean carriers to engage in different practices or to use different terms to describe those practices, as long as each ocean carrier's practices are clear. Adopting the NPRM's recommendation would actually add to confusion within the industry by requiring ocean carriers to abandon familiar, existing terminology in favor of some undefined standard.

E. The NPRM would alter existing billing practices that take into consideration the party responsible for the charge.

In conjunction with the FMC's recommended limitations on the use of the terms "demurrage" and "detention," the NPRM further proposes to limit billing practices by function such that terminals would bill solely for land use and ocean carriers would bill for equipment use. While this facially seems like a logical approach, it fails to address operational realities.

On-terminal charges for both land use and equipment use accrue prior to the container's being released from the marine terminal. At present, by arrangement between the ocean carrier and terminal operator, these charges are billed by the terminal and must be paid by the shipper before the container can be released. This single invoicing point streamlines invoicing processes, provides greater transparency to shippers as to when a container is available for release, and allows the terminal operator to better manage its gate operations.

By contrast, splitting the billing functions by land use and container use would require separate invoices to be issued by both terminal and ocean carrier. Each would have to be paid separately by the shipper and payment confirmations would have to be coordinated by the terminal and ocean carrier before a container could exit the terminal. This added complexity would likely result in cargo not being able to enter or exit a terminal, longer on-terminal dwell times and a negative impact on terminal fluidity.

F. The NPRM would dictate who could be invoiced for the use of ocean carrier equipment.

The NPRM further proposes that ocean carriers only be allowed to invoice cargo interests for demurrage and detention rather than third parties such as truckers. Not only is this inconsistent with general theories of agency, it fails to consider the operational aspects of intermodal transportation. In a merchant haulage move, where the trucker is hired by the ocean carrier's customer and is the customer's agent, it is often more efficient to invoice the trucker that is in possession of the equipment and has control over when the equipment is picked up or returned. By contrast, in a carrier haulage move, where the trucker is hired by the ocean carrier, the trucker may be the only party that is suitable for the ocean carrier to invoice, as the trucker may have no privity with the shipper.

In addition, there are instances where containers are interchanged between truckers. These so called "street turns" typically arise when an import container is emptied and then made available for a trucker to use for an export load. In such cases, it is more expeditious to bill the relevant trucker directly rather than trying to coordinate with multiple truckers and shippers. The UIIA already considers this practice and has established rules for notification, the transfer of interchange rights, invoicing and dispute resolution. Adopting the proposal set out in the NPRM would conflict with these industry-developed practices and would stifle the use of innovative and efficiency enhancing practices such as street turns.

III. CONCLUSION

OCEMA commends the efforts undertaken by the FMC with regard to the issues set out in the NPRM. It is in the interest of all within the intermodal industry to create efficient and effective processes to promote equitable demurrage and detention practices. However, this requires consideration of all of the reasons for imposing demurrage and detention and a careful review of how changes to the present system will affect commercial and operational processes. OCEMA supports the notion of transparency in the promulgation of demurrage and detention practices, but believes development of those practices is best left to the marketplace.

While well intended, the FMC has crossed a line from regulator to commercial arbiter of what can and cannot be charged and how risks can be allocated. This is not only unprecedented but, by shifting large areas of operating risk by government fiat, is grossly unfair. Accordingly, OCEMA respectfully opposes adoption of the NPRM and urges the FMC to reconsider the rulemaking in light of the above comments.

Respectfully submitted,

A handwritten signature in black ink, appearing to read 'Jeffrey F. Lawrence', is written over a horizontal line.

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October 31, 2019

Appendix 1

OCEAN CARRIER EQUIPMENT MANAGEMENT ASSOCIATION

MEMBERS

CMA CGM, S.A.

COSCO SHIPPING Lines Company Ltd.

Evergreen Line Joint Service Agreement

Hapag-Lloyd AG

Hyundai Merchant Marine Company Ltd.

Maersk Line A/S

MSC Mediterranean Shipping Company S.A.

Ocean Network Express Pte. Ltd.

Orient Overseas Container Line Limited

Wan Hai Lines Ltd.

Zim Integrated Shipping Services